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THE COMPANIES ACT, 1956
COMPANY LIMITED BY SHARES

ARTICLES OF ASSOCIATION

OF

NUCLEUS SATELLITE COMMUNICATIONS (MADRAS) PRIVATE LIMITED

INTERPRETATION

1. In these Regulations, unless the context otherwise require the words and expressions contained in them shall bear the same meaning as in the Act or any Statutory modification thereof, and

   (a) "The Act" means the Companies Act, 1956.

   (b) "The Seal" means the Common Seal of the Company.

   (c) Words imparting the singular shall include plural and vice-versa and words imparting masculine gender shall include females and words imparting persons shall include bodies corporate.

   (d) "Months" and "Year" means an English Calendar month and Calendar year respectively.

2. The regulations contained in Table "A" in the First Schedule to the Companies Act, 1956 shall apply to this company in so far as they are not inconsistent with any of the provisions contained in these regulations.

CONSTITUTION

3. The Company is a Private Limited Company within the meaning of Section.3(1) (iii) of the Act and accordingly :

   (a) The right to transfer shares of the company shall be restricted in the manner and to the extent hereinafter appearing in these regulations.

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(b) The number of members of the company shall be limited to fifty not including :

(i) Persons who are in the employment of the Company and

(ii) Persons who having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after employment ceased.

(c) No invitation shall be issued to the public to subscribe for any shares in or debentures of the company.

Provided, where two or more persons hold one or more shares in the company jointly, they shall, for the purpose of this definition, be treated as a single member.

SHARES

4. (a) The Authorised Share Capital of the Company is Rs.50,00,000/-(Rupees Fifty Lakhs only) divided into 5,00,000 (Five Lakhs) Equity Shares of Rs. 10/-(Rupees ten only) each with powers to increase or reduce the capital and to subdivide and consolidate the shares of the company for the time being.

(b) The Company shall have powers to issue at any time Preference shares including Redeemable and Convertible Preference Shares, whether cumulative or non-cumulative.

5. The Shares shall be under the control of the Directors who may allot them to such persons on such terms and conditions as they think fit provided however the Directors shall comply with the Provisions of the Act.

6. (a) The Company shall have the power to increase the share capital by such amount as it thinks expedient by issuing new shares in accordance with the provisions of the Act.

(b) The powers conferred by this section shall be exercised by the company in its General Meeting.

7. The Company Shall have the power to reduce the share capital in the manner provided for in the Act.

SHARE CERTIFICATE

8. (a) Every person whose names is entered as a member in the Register of members shall be entitled to receive within three months after the allotment or two months after the registration of transfer:

(i) One Certificate for all his shares without payment.

(ii) Several certificates each for one or more of his shares upon payment of one rupee for every certificate after the first.

(b) Every certificate shall be under the Seal and shall specify the shares to which it relates and the amount paid up thereon and shall be signed in the manner specified in the Companies (issue of Share Certificate) Rules, 1960.

(c) In respect of any share or shares held jointly by several persons, the company shall not be bound to issue more than one certificate and delivery of a certificate for the share to one of several joint holders shall be sufficient delivery to all such joint holders.

(d) If a share certificate is defaced, lost or destroyed it may be renewed on payment of such fee not exceeding one rupee and on such terms if any as to evidence and indemnity and the payment of expenses incurred by the company in investigating the evidence, as the directors think fit, in accordance with the Companies (issue of Share Certificate) Rules, 1960.

TRANSFER OF SHARES

9. (a) The Directors may in their absolute discretion refuse to register any transfer of shares to a transferee of whom they do not approve. The Directors may before any transfer is effected give permission in advance to a contemplated transfer and such permission shall be binding on the Company.

(b) A share may be transferred by a member or other person entitled to transfer to any member selected by the transfer, but no shares shall be transferred to any person who is not a member unless such person is approved by the Directors as one whom it is desirable, in the interest of the company, to admit to membership.

(c) The Directors may also refuse to register a transfer of shares where the result of such registration would make the number of members exceed the limit mentioned in Article 3.

10. (a) The instruments of transfer shall be executed by or on behalf of both the transfer and the transferee.

(b) Shares in the Company shall be transferred in the form prescribed by the Act.

(c) A fee not exceeding one rupee may be charged for the registration of any transfer and a like fee may also be charged on any transmission of shares.

(d) The transfer books and the register of members shall be closed during the 14 days immediately preceding the Annual General Meeting each year, subject to the provisions of the Act.

DEBENTURES

11. Subject to the provisions of the Act the Company shall have power to issue Debentures.

GENERAL MEETINGS

12. In regard to the calling and conduct of meetings the Company shall comply with the provisions of sections 166 to 197 and 210 of the Act, provided however, the provisions of section 171 (2) and Section 173 and 176(2) shall not apply to this Company and further other provisions in the groups of sections 171 to 186 shall also not apply to this company in so far as they are inconsistent with the regulations herein contained.

13. At least seven days notice specifying the place, the day and hour of the General Meeting and in the case of special business, the nature of such business shall be given to members in the manner subscribed in section 171 of the Act and also to the auditors. Accidental omissions to give such notice to or non-receipt of such notice by any member shall not invalidate the proceedings of the General Meeting. A General Meeting may with the consent of all the members be called at a shorter notice and in such manner as the members think fit subject to the provisions of the Act.

14. The Company shall permit at the or before the Commencement of the General Meeting the inspection of the documents referred to in section 230 of the Act.

QUORUM

15. (a) No business shall be transacted at any General Meeting unless a quorum of members is present at the time when the meeting proceeds to business. Two-third of the total members of the Company or two members, personally present whichever is lower shall be the quorum for the General Meeting of the Company.

(b) If within half an hour from the time appointed for holding a meeting, if called on the requisition of members, the quorum is not present, the meeting shall stand dissolved. In any other case, the meeting shall stand adjourned to the same day in the next week at the same time and place or as the Board may determine. If at the adjourned meeting also a quorum is not present the members present shall be the quorum.

16. (a) The Chairman, if any, of the Board shall preside as chairman at every General Meeting of the Company.

(b) If there is no such chairman or if he is not present within fifteen minutes after the time appointed for holding the meeting or is unwilling to act as chairman of the meeting, the directors present shall elect one of themselves to be the chairman of the meeting.

(c) If at any meeting no director is willing to act as chairman or if no director is present within fifteen minutes from the time appointed for holding the meeting the members present shall choose one of themselves to be the chairman of the meeting in accordance with the provisions of section 175 of the Act.

17. On a show of hands every member in person shall have one vote and on a poll every member present in person or by proxy shall have one vote for each share held by him.

DIRECTORS

18. (a) Until otherwise determined by the company in a General Meeting, and subject to the provisions of the Act the number of directors of the company shall not be less than two not more than seven.

(b) The first directors of the company shall be

(1) Mr. V. RAMAN
(2) Mr. V. LAKSHMANAN
(3) Mr. R. RAJARAMAN

(c) The Chairman or Managing Director or executive director, or whole time director as the case may be shall be appointed by the Board.

(d) In appointing a person as a director the provisions of Section 274 and 307 of the Act shall be complied with.

19. Unless otherwise determined by the company in General Meeting the Directors shall have power to coopt as and when they consider desirable one or more persons to be Special Directors of the Company and to remove from office any or all of such Special Directors, at their will and pleasure, and to appoint in his or their stead new ones, provided however, that the number of such Special Directors shall at no time exceed one third of the number of Directors for the time being of the company. the total number of directors including special directors shall not exceed the maximum number fixed under article 18(a).

20. Subject to provisions of the Act, the Board may appoint an alternate director to act for a Director (hereinafter called "The Original Director") during his absence for a period of not less than three months from India. The alternate Director appointed under this article shall vacate office if and when the original Director returns to India and any provisions in the Act or in these article for the automatic reappointment of returning director in default of another appointment shall apply to the original Director and not to the alternate Director.

21. Subject to the provisions of the Act the Managing Director, Executive Director or whole time Director and special Director shall not, while continuing to hold the respective offices, be subject to retirement by rotation shall not be reckoned for the purpose of determining the number of Directors to retire by rotation.

The first Director for the Company shall hold office for life and are not subject to retirement by rotation.

The other Director shall hold office for a period of five years from the date of their appointment by the company and are eligible for reappointment.

22. At the first Annual General Meeting of the Company all the directors as are liable to retire by rotation shall retire from office, and at every subsequent General Meeting 1/3rd of such of the Directors for the time being as are liable to retire by rotation, or if their number is not 3 or a multiple of 3, then the number nearest to 1/3, shall retire from office.

23. (a) Every Director shall discharge such duties as are required under the Act;

(b) Every Director shall have such rights and powers as are provided for in section 209, 284, 291 and 320 of the Act.

(c) Directors shall be subject to such civil liabilities as are provided for in section 169, 314, 319, 320 and 322 of the Act.

(d) Directors shall be subject to the restriction and disabilities provided for in section 297, 312, 314, 318 and 319 of the Act.

24. No qualifications shares need be held by the Directors of the Company.

25. (a) The Board of Directors shall be entitled to exercise all such powers and do all such acts, things as the company is authorised to exercise or do provide that the Board shall not exercise any power or do any other act or things which is required by the Act or any other

provisions of law or Memorandum of Association or by these Articles to be exercised and done by the Company in General Meeting.

(b) No regulations made by the Company in General Meeting shall invalidate any prior act of the board which would have been valid if that regulations had not been made.

26. (a) The Board of Directors while meeting for the despatch of business adjourn or otherwise regulate its meeting as it thinks fit provided, however the Board shall meet at least once in every three months in accordance with section 285 of the Act.

(b) A Director may and the principal officer of the company on the requisition of a Director shall, at any time, summon a meeting of the Board.

(c) The quorum for a meeting of Board shall be two directors or one third of the total strength of the Board (any fraction contained in 1/3 being rounded off as one) whichever is higher subject to section 287 of the Act.

(d) The Board may elect a Chairman for its meeting and determine the period for which he is to hold his office. The first Chairman of the Board shall hold office until the first Annual General Meeting of the Company.

(e) Directors shall be entitled to a sitting fee not exceeding Rs.250/- for each meeting of the Board or committee of the Board attended by them. They shall also be entitled to such traveling and other allowance as may be decided by the Board for each meeting of the Board or a Committee of the Board attended by them.

27. The affairs of the company shall be managed by the Board of Directors, subject to the provisions of section 314 of the Act. The working Directors are entitled to remuneration for the service rendered by them either as whole-time or part-time which shall be decided by the Board from time to time.

28. The directors may from time to time raise or borrow any sum of money for and on behalf of the company from the members or any other person, companies or banks or any one or more of the Directors on such interest as may be approved by the Directors.

29. The Directors may from time to time secure the payment of such money on such terms and conditions in all respect as they think fit and in particular by the issue of debentures or bonds of the Company or by mortgage or charge of all or any part of the property of the company and its uncalled capital for the time being.

30. Any Debentures, Bonds or other securities may be issued at a discount, premium or otherwise and with special privileges as to redemption surrender drawings and allotment.

31. The Directors shall cause proper books of accounts to be kept showing receipts and expenses, sales and purchase and the assets and liabilities of the company and otherwise comply with the provisions of section 209 of the Act.

32. The Books of accounts shall be kept at the Registered Office of the company and the Directors may determine whether and to what extend and at what time and place and under what conditions and restrictions the books of account of the company or any of them shall be open to the inspection of members.

AUDIT 7

33. Auditors shall be appointed and their duties regulated in accordance with the provisions of the Act.

THE SEAL

34. (a) The Board shall provide a Common Seal for the purpose of the Company and for the safe custody of the seal.

(b) The seal of the company shall not be affixed to any instrument except by the authority of resolution of the Board and except in the presence of one Director who shall sign every instrument to which the seal of the company is so affixed.

ACCOUNTS

35. No member (not being a director) shall have any rights for inspecting any accounts or books or documents of the company except as conferred by law or by these regulations or as authorised by the Board or by the company in General Meeting.

MINUTES

36. The Company shall cause Minutes of all proceedings of every General Meeting and of all proceedings of every meeting of its Board of Directors or of every Committee of the Board to be kept in the manner required by the Act and the provisions of the Act will apply accordingly.

WINDING UP

37. (a) If the Company shall have to be wound up, the liquidator may with the sanction of a special resolution of the company or any other sanction required by the act, divide amongst the members in specie or kind, the whole or any part of the assets of the company whether they shall consist of property of the same kind or not.

(b) For the purpose aforesaid the liquidator may set value as he deems fair on any property to be divided as aforesaid and may determine how such division shall be carried out as between the members.

(c) The liquidators may with like sanction vest the whole or any part of such assets in trustees upon such trusts for the benefits of contributors as the liquidators, with the like sanctions shall think fit but that no member shall be compelled to accept any share or other securities whereon there is any liability.

INDEMNITY

38. Every officer, agent or employee for the time being of the company shall be indemnified out of the assets of the company against any liability incurred by him in defending any proceedings, whether civil or criminal in which judgement is given in his favour or in which he is acquitted or in connection with application under section 633 of the Act in relief is granted to him by the

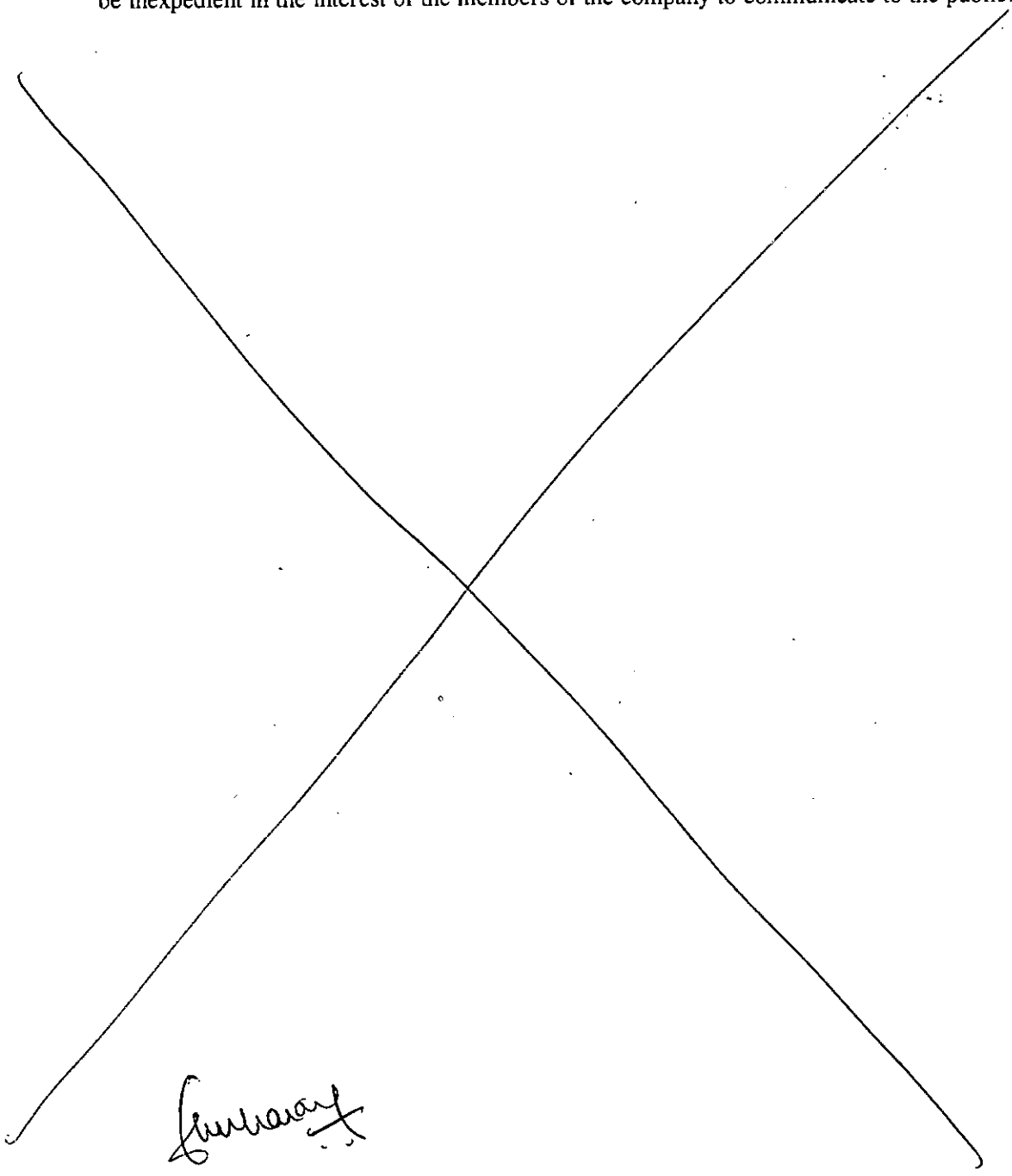
court by the reason of any contract entered into or act or thing done by him on behalf of the company.

ARBITRATION

39. All questions of difference between the company and its shareholders or between the share holders interfere shall be decided by arbitration.

SECRECY

40. No member shall be entitled to visit or inspect the company's office or any place of business without the permission of the directors or to discover any information respecting any details of the company's trading or any matters on secret process with in the opinion of the Directors will be inexpedient in the interest of the members of the company to communicate to the public.



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Sl. No.	Names, Addresses, Descriptions and Occupations of the Subscribers	Signatures of Subscribers	Signature, Name, Address Description and Occupation of Witness
1	V. RAMAN S/o Dr. V. VENKATA-SUBRAMANIAN 10. A SRI SAI NAGAR KARPAGAM AVENUE, R.A. PURAM, MADRAS-28 - BUSINESS -		S. R. CHANDRA SEKARAN S/o V. SUBRAMANYAM FLAT #4. "SAHANA" 9, SECOND MAIN ROAD RAJA ANNAMALAIPURAM CHENNAI. 600028 CHARTERED ACCOUNTANT
2	V. LAKSHMANAN S/o DR. VENKATA-SUBRAMANIAN 10A SRI SAI NAGAR, KARPAGAM AVENUE, R.A. PURAM, MADRAS-28 — BUSINESS —		
3	R. RAJA RAMAN S/o M.N. RAMACHANDRAN 10. A SRI SAI NAGAR, KARPAGAM AVENUE, RA PURAM. MADRAS-28 SERVICE		

3. R. RAJARAMAN.
S/O M.N. RAMACHANDRAN.
10. A. SRI SAI NAGAR.
KARAPAGAM AVENUE.
RAPURAM. MADRAS-28
— SERVICE —

Date : 23-05-1997

Place : CHENNAI

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